

Growing and Protecting Your Wealth

A Tailored Approach for Mr. Suryadi

Shane Ng
Relationship Manager
AAG Global Private Banking

Agenda

Assessing your Risk-Return Profile and Goals

Objectives:

Wealth growth, Liquidity for daughter's and son's education, Liquidity to care for aged parents, Financing of Sentosa Cove home

Assess current portfolio:

- Address misalignment reasons
- Propose refinements



Financing of dream home at Sentosa Cove:

Explore mortgage, Lombard Loan, Hybrid solutions

Proposal

New Portfolio:

Diversified barbell strategy with growth & safety buckets

Tail-risk hedge

Illustrate expected return, yield & volatility

Inclusion of commodities & Indonesian Equities

FX risk management

Tactical Trade Idea:

Long Asian Emerging Market Equities AND Short US Small Caps (pair trade)

Investment Outlook



Macro Environment 2025

- Address headwinds and tailwinds
- Share current events that would have significant impacts on his portfolio

Asset classes breakdown:



- Equities
- Fixed Income
- Alternatives

Holistic Wealth Solutions



Tax, Estate & Succession Planning



Insurance Protection



Philanthropy & family governance

Client Profile

Client Overview

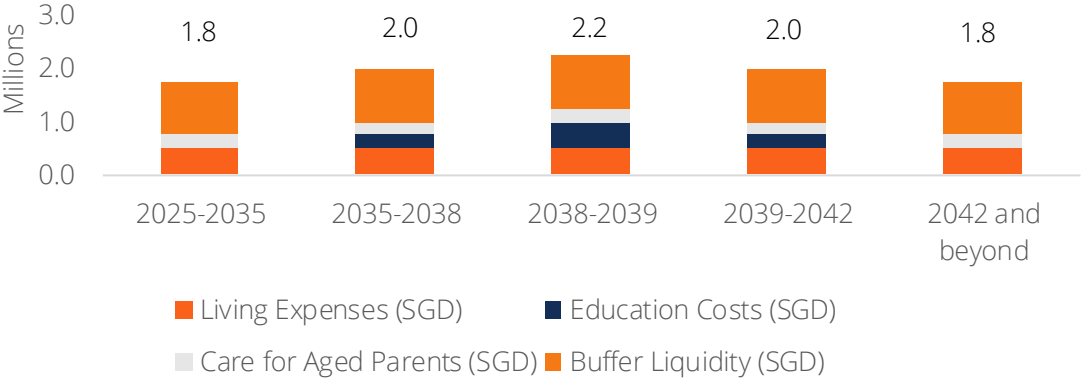
Mr. Suryadi, a 40-year-old businessman from Indonesia. Founded ABC Agriculture Limited. Have a significant interest in commodity-linked investments and Indonesian Equities. Married with two children, daughter (5) and son (11)



Risk and Return

Risk Appetite		Risk Capacity	
H	40-Year-Old Investment Focus: Capital Appreciation and Wealth Maximization	H	Strong company growth prospects. Own \$100 million of his company shares as potential asset buffer . Experienced Investor with University degree from US.
M	Expected Annualized Returns: 7-10%	M	Provide for aged parents and children's education. Maintain current lifestyle.
M	Expected Annualized Volatility: <15%	H	Investment Time Horizon: 25 Years
Overall Risk Profile: Moderately Aggressive			

Liquidity Needs (before inflation)



Concerns

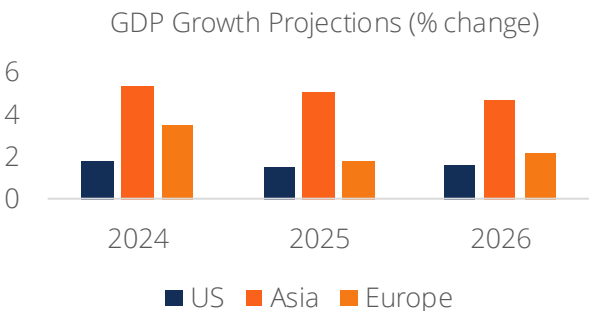
-  Uncertain about comparative returns and diversification benefits of commodity-linked investments
-  Tariff-induced recession risks
-  Inflation slightly above US central bank targets (3% vs 2%). Rates may ease, but further cuts remain uncertain amid sticky inflation and new policy risks.



Macro and Market Outlook

Macro Outlook

- **Trade disputes** and **import tariffs** by US weigh on businesses and distort trade flows. **Downside “tariff-induced recession” risk** persist if tariff conflicts escalate into a broader trade war.
- **Geopolitical tensions** due to the ongoing war in Ukraine, heightened US-China frictions and other regional conflicts introduce policy uncertainty, threatening to **disrupt supply chains** and **dampen business confidence**.

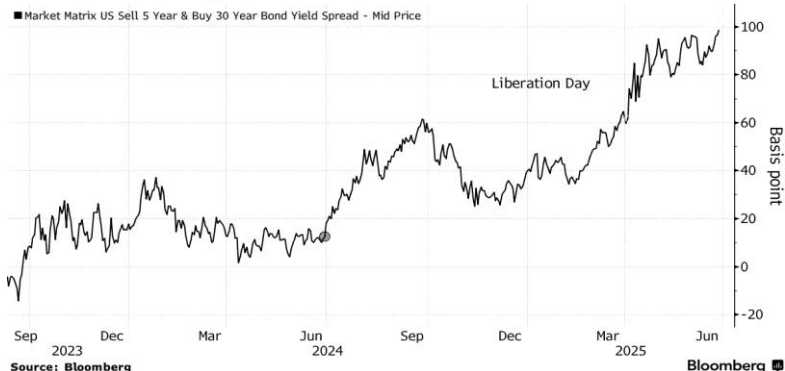


Source: IMF, World Economic Outlook Update

Yield curve steepening:

- **Short-term yields** are pushed down due to rate cut expectations, while **long-term yields** remain elevated, due to concerns over inflation and government debt issuance.
- **Economic growth** may improve or remain stable. **Financials** benefit as they borrow short and lend long.

Yield Curve Steepens



Traditional Equities



US

- **Strong earnings report** support by **high** Return on Equity and Profit Margins.
- **Potential slowing of economic growth** in the US and **corporate earnings** being **pressured by rising costs** due to tariffs pushing up input prices may deliver lower returns in the near term.
- **Elevated** valuations, especially in big technology names trading at premium multiples, could see volatility if growth disappoints or interest rates stay high.



Asia ex-Japan Equities

- Emerging markets within **Asia** boast rising middle classes, rapid digital adoption and improving macro stability.
- Forecasted growth of **5.1% in 2025** by IMF because of a stronger economic backdrop support corporate revenue growth. Healthier valuations as compared to the US offer better long-term return prospects.
- **China's Reserve Requirement Ratio** cut of **0.5%** and Anti-involution campaign supports stock valuation.



Europe

- **Europe market** lagged for years. Key economies like Germany are **heavily dependent on manufacturing/exports**, which are being hit by China's slowdown, global trade frictions, and the green transition costs.
- European Central Bank (ECB) is **more constrained** than the Fed. With fragmented member states, fiscal policy responses are slower and uneven.
- Europe indices are **structurally underweight in tech**: an important sector that continue to see strong potential.



Macro and Market Outlook (2)

Fixed Income

NTL



US Treasuries

- **Tight credit spreads** means lower-rated bonds are not offering much extra yield above safe treasuries.
- **Poor investor confidence on US fiscal's health** due to the **GOP budget bill** and **uncertainty due to policy volatility** is causing investors to either refrain from **lending money to the government for long durations** or **demanding higher yields**, both of which **drive long duration treasury prices down**.

OW



Investment Grade Corporate Bonds

- **Slowing growth and policy volatility** may induce higher default rates in high-yield bonds, causing a quality bias in credit rating and eventually pushing demand for Investment Grade Bonds to be higher.

NTL



Emerging Markets

- Better suits Mr. Suryadi given his **Emerging Markets** ties. Central banks in Emerging markets raised rates early (>10% in Brazil for example) and now have room to cut. A **fall in rates** may result in **price gains and higher coupon payments** for existing bondholders.
- **Uncertainty** of impact on EM **due to tariffs** reduce FDI into EM. This might result in higher defaults and lower credit ratings. **Hard currency** bonds are favoured to reduce exchange rate volatility.

Alternatives

OW



Real Estate

- **London offices** show early signs of recovery in prime leasing and valuations.
- **Rising trend of fractional investments** is improving access and liquidity for young/retail/international investors, allowing for increased transactions and market participation
- **Potential cut** in interest rates favour market activity in real estate
- **Industrial/Data Centers** are seeing growth driven by AI infrastructure demand

NTL



Commodities

- **Geopolitical conflicts** such as the Russia-Ukraine war potentially disrupt energy supply chains, causing prices of oil and biofuel to remain elevated.
- **Demand** for energy is expected to rise due to AI electrical usage.
- **Sustained demand for gold** resulted in elevated prices as investors run to it amid times of uncertainty and inflation.
- **Yet**, softening global demand and adequate supply is pushing energy prices downwards.

UW



Cryptocurrency

- **Highly speculative and extremely volatile**. Even though crypto market capitalization has increased, the fundamental value of crypto assets is very uncertain, if any at all.
- **Central banks** and regulatory crackdowns by the European CB further puts cryptocurrency in poor stead.
- **Strong correlation** with equities further increases portfolio volatility and offer no diversification benefit.



Portfolio Strategic/Tactical Asset Allocation (SAA/TAA)

Asset Class	Fund Name	SAA	Adjustments	TAA	Justification of how Mr. Suryadi's needs are met
Equities (60.5%)	JPM American Equity Fund	35.5%	NTL	35.5%	Focuses on high-growth U.S. companies, with strong returns aligning with his moderate/aggressive risk appetite
	HSBC GIF Asia ex Japan Equity Smaller Companies	15%	OW +2%	17%	Provides exposure to the high-growth potential of emerging markets while mitigating regional risks through diversification .
	BlackRock European Equity Income	5%	UW 2%	3%	Taking advantage of lower valuations and provide diversification benefit
	iShares MSCI Indonesia ETF	5%	NTL	5%	Reflects Mr. Suryadi's passion for Indonesia . Indonesia's solid 5%+ GDP growth and expanding middle class create opportunities in banking, consumer, and commodity sectors
Fixed Income (15%)	PIMCO Income	10%	OW +1%	11%	Provides stability and income through investment-grade corporate bonds, which are essential for capital preservation and income generation to better meet his liquidity needs
	JPMorgan Emerging Markets Investment Grade Bond	5%	NTL	5%	Offers higher yields and asset class diversification – focusing on hard-currency bonds to avoid FX volatility
Alternatives (14.5%)	iShares Global REIT Fund	7%	OW +1%	8%	Invests in global real estate, particularly in sectors like logistics and data centers, offering income, capital appreciation, and a hedge against inflation, which is a key concern in the current environment.
	JPM Natural Resources Fund	7%	NTL	7%	This fund benefits from rising gold and hard commodity prices. Serves as an inflation hedge and diversifier
	Buy Long-dated, OTM Put Options on S&P 500	0.25%	-	0.25%	To protect against extreme downside scenarios inexpensive in normal times but can pay off significantly in a crisis.
	Buy USD Put/SGD Call Options	0.25%	-	0.25%	FX Risk Management. Should USD depreciate greatly, previously bought USD put options can be exercised. Should SGD appreciate greatly, previously bought SGD Call options can be exercised.
	Cryptocurrency	0%	-	0%	Avoid exposure due to high volatility and poor diversification benefit. Speculative in nature, unsuitable for Mr. Suryadi's objectives of prudent capital growth.
Liquidity Bucket (10%)	United SGD Money Market Fund	10%	UW -2%	8%	To meet liquidity needs in the coming years , so that Mr. Suryadi need not be forced to sell equities in a downturn to finance expenses for his lifestyle, his children and his aged parents.



Strategic Asset Allocation and Short-Term Trade Idea

Strategic Asset Allocation

Equities: Targeted for growth, diversified across regions and sectors.

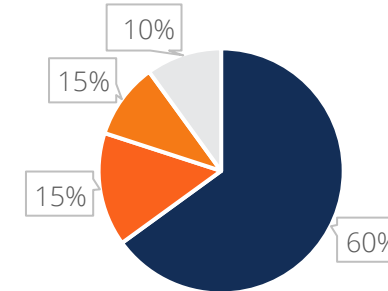
Fixed Income: Provides income and capital preservation.

Alternatives: Enhance portfolio diversification, offer inflation protection, and provide opportunities for higher returns.

Money Market Fund: Provide liquidity buffer. Use in case of emergency.

Diversification: It aims to spread investments across different asset classes that experience varying correlations. This reduce the total portfolio volatility and eliminate unsystematic risk.

Strategic Asset Allocation - Actuals



■ Equities ■ Fixed Income ■ Alternatives ■ Money Market Fund

Trade Recommendation

Tactical Trade Idea:

- Long Asian Emerging Market Equities AND Short US Discretionary (pair trade).
- Asia EM outperformance is anticipated due to ongoing stimulus and post-reopening growth. US Discretionary face headwinds from recession risk and suppressed margins from tariffs.

Risk Management:

- This relative trade helps neutralize broad market risk – if global equities fall, the short leg offers some hedge. We set stop-loss levels (e.g. if EM underperforms by 10%) and a time horizon (~12 months) to re-evaluate. Position size will be limited (a few percent of portfolio net exposure) to ensure it doesn't jeopardize the core strategy.

Stock price graph of Consumer Discretionary vs Asia Market Emerging Equities

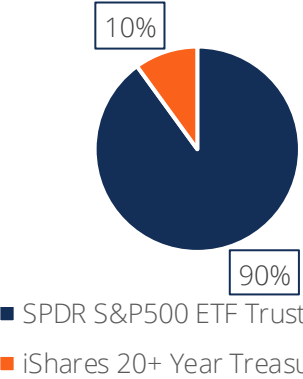


Consumer Discretionaries (XLY-Pink),
fell more sharply during COVID, as compared to
Asia Market Emerging Equities (AAXJ-Blue)



Portfolio Comparison and Metrics

Current Allocation



- Pros:**
- Strong Past Growth
- Misalignments:**
- Ignores liquidity needs
 - High Volatility
 - Low diversification
 - No inflation hedge
 - Minimal income generation

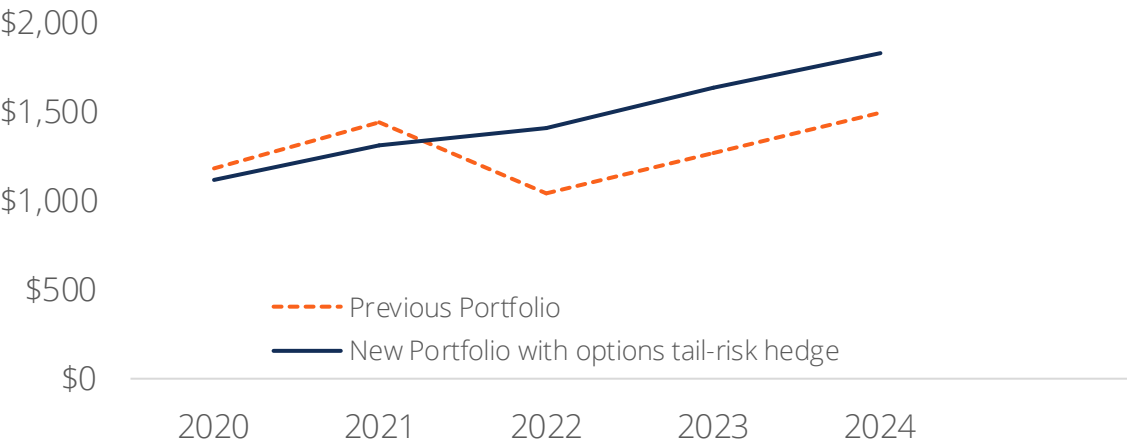
Refinements



- Diversification:**
- Other asset classes
 - Other region exposures
- Portfolio Insurance**
- Hedge Tail-End risk with alternatives
- Tactical Asset Allocation**
- Capitalising on macroeconomic trends to reap superior returns and better manage risk



Value of \$1000 in Previous and New Portfolio



Comparison between Portfolios

Portfolio Type	Expected Return (%)	Expected Yield (%)	Expected Cash Return (\$mil)	Expected Volatility (%)	Sharpe Ratio
Previous	11.25	1.48	2.95	16.61	0.49
New	7.44	2.12	4.24	12.87	0.78



Rebalancing and Tail-risk Hedge

Tail-Risk Options/ FX Hedge

1. Buy a contract that allows you to **sell the fund/currency** at a **relatively lower price** than current prices.
2. Buy a contract such that it can also be **exercised far into the future**.
3. Should there be a financial crisis and the fund **falls sharply** in value/currency **severely depreciates**, the initially bought contract can now be **exercised to protect losses** or **sold at a much higher price**
4. It is proven that these contracts that you bought are **generally undervalued**.

Rebalancing Considerations

-  Protect against **portfolio drift**
Actively capitalise on **short-term market trends**
Maintain **desired** risk-return profile
-  Frequent rebalancing can incur **higher trading cost** and **eat into returns**

How Mr. Suryadi's needs are met



- **Protects against** financial crisis that happens more often than what is currently being priced in. **With current geopolitical and policy volatility**, (USD expected to depreciate due to rate cuts/money outflow to EM), protecting against FX risk is key to prevent real asset erosion.



- **This aligns** Mr. Suryadi's need for a lower expected annualized volatility and wealth preservation.



- Delivers better **risk-adjusted returns** by hedging against tail risk.

Rebalancing Frequency recommendation



- Rebalance **twice a year** to protect against portfolio drift while minimizing transaction cost.
- Should $\pm 8\%$ deviation occur for any asset class due to macroeconomic events or sudden volatility, a rebalancing outside of the pre-agreed arrangement is conducted.
- This ensures his **risk appetite is maintained** within the stipulated bounds.



Addressing Mr Suryadi's Asset Management Concerns

Former advisor's concerns valid?

AGREE

- **Agree** on his view on tariff-induced recession risk, causing equity allocation to potentially suffer the most.
- **Agree also** on yield curve steepening and inflationary pressures, causing fixed income allocation to depreciate.

How Portfolio is adjusted



- Taking a selective approach in overweighting **promising equity funds**.
- Using **options** to hedge against recession/FX tail-risk.
- Having 12 mths liquidity in respective currencies



- Include alternatives like **Real Estate** that is known to provide a strong inflation hedge.
- **Avoid long duration treasuries** for their price drops more sharply.

Impact on Short/Long Term Asset Allocation

DISAGREE



- **Disagree** with local private banker that equity exposure should be avoided. Certain geographies such as Asia still show promising prospects. Time in the market is better than timing the market.



- **Disagree also** with local private banker that we should avoid fixed income exposure, as it still provide robust constant cashflow to meet liquidity needs and provide diversification benefits.

Cryptocurrency?

DISAGREE

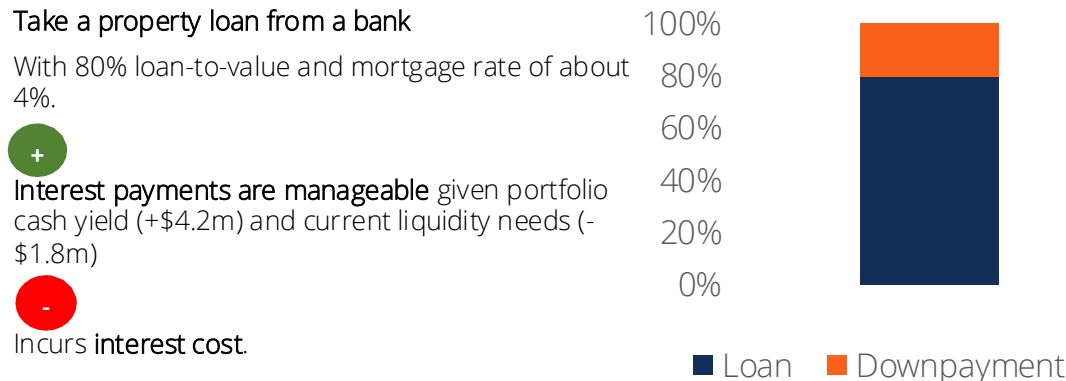


- **Disagree** with local private banker that cryptocurrency exposure can capture outsized returns.
- **The lack of fundamental value** backing up the asset makes it highly speculative and susceptible to a bubble formation.
- **Yet**, stablecoins emergence, Trump's pro-crypto policy and untapped institutional money in crypto space are boons. A very small allocation may be considered if desired.

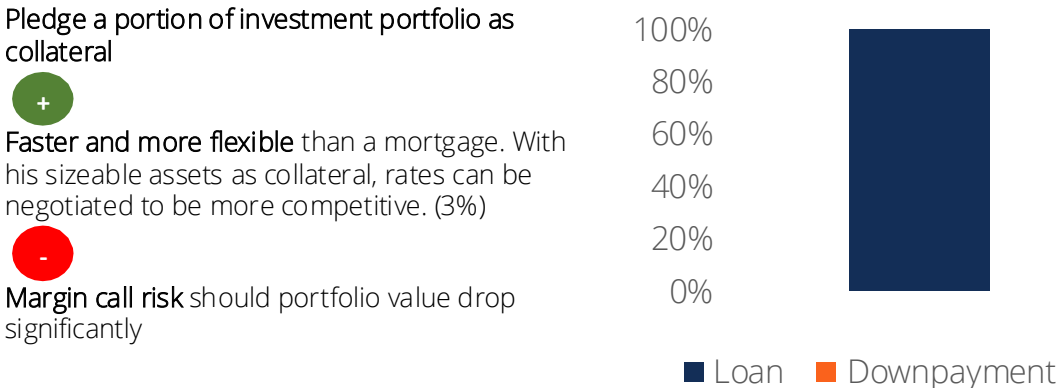


Financing the Sentosa Cove Property

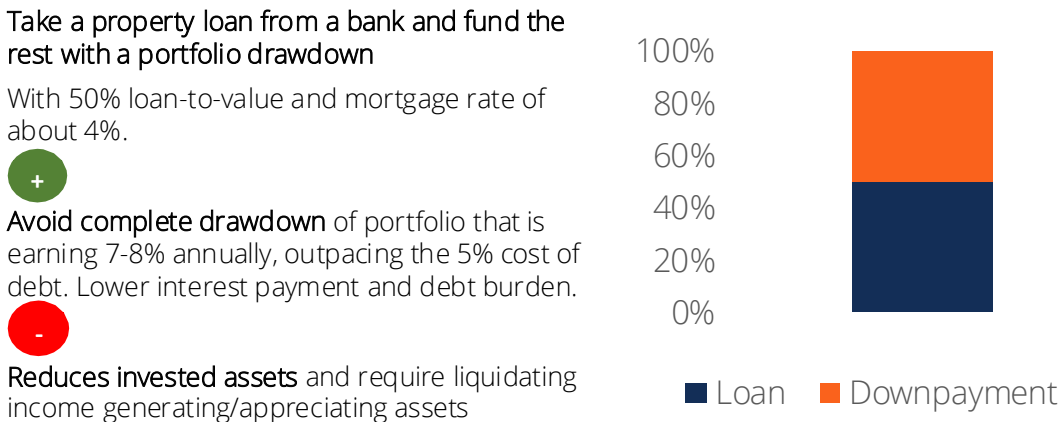
Option 1: Traditional Mortgage



Option 2: Securities-backed lending



Option 3: Traditional Mortgage + Portfolio Drawdown



Recommendation: Option 2: Securities-backed lending



Mr. Suryadi's large asset base can be used to reduce his mortgage expense while allowing his current portfolio of zero drawdown to generate 7-8% returns. Using a floating interest rate instead of fixed in expectation of future interest rates fall in Singapore. (3-month SORA is 1.845%, Aug 25) Refinancing and swaps are ways this can be done.



Margin call risk can be mitigated by keeping a chunk in low-volatility bonds as collateral.



Holistic Wealth Management Planning

Estate Planning



- **Family trust:** Establish trusts to manage and protect assets for wife, children and close ones.
- **Will update:** To reflect new residence and assets. Possibly setting up powers of attorney for major financial/healthcare decisions.

Insurance



- Evaluate the need for long-term care insurance to protect against high retirement care costs for his aged parents and himself.
- Evaluate need for insurance to protect his **agriculture business** against black swan events, Force Majeure or climate change risk. This is **important** given his \$100m equity stake in his business.
- Evaluate need for a life policy that cover estate taxes and provide immediate liquidity to his family without portfolio drawdown requirement.

Donor-Advised Funds (DAFs)



- Set up a Donor-Advised Fund (DAF) to manage and streamline charitable donations. (Helping out small businesses/education in Indonesia)
- The DAF allows Mr. Suryadi to make a charitable contribution, receive an immediate tax deduction, and then recommend grants from the fund over time.

Tax Efficiency



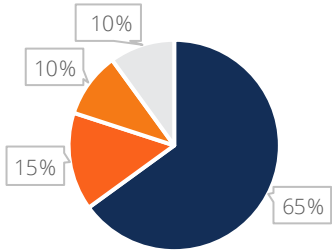
- Establishing an offshore trust for his U.S. shares to mitigate estate tax.
- Explore Ireland-domiciled ETFs that are more tax efficient on their dividends.
- Ensure Sentosa Cove property is declared owner-occupied to benefit from lower property tax rates



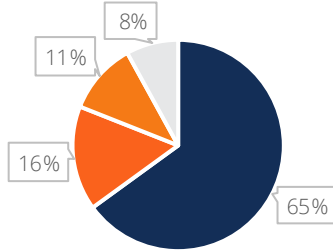
Executive Summary

Asset Allocation

SAA



TAA



Fulfilling Mr Suryadi's needs

Metric	Mr Suryadi's Risk Appetite	New Portfolio
Expected Annual Return	7% - 10%	7.44%
Expected Volatility	<15%	12.87%

Portfolio Repositioning



Reduce volatility from previous portfolio and improve cash yield to meet liquidity needs



Diversification into different asset classes to improve risk-adjusted returns and reduce unsystematic risk



Infrequent but disciplined rebalancing

Holistic Wealth Recommendations



Consider Estate Planning Strategies



Ensure comprehensive insurance coverage for family and business



Consider investing in Donor-Advised Funds



Implement tax-efficient strategies

